



RED SIGNAL FOR RETAIL

Political parties oppose the entry of large retail chains saying they will throttle small traders, stalling the plans of corporates queuing for a slice of the country's largest consumption market

■ By M. G. Radhakrishnan

God's Own Country" no longer holds true. The next time someone sits down to coin a catchy one-liner for Kerala Tourism, he would do well to come up with something like "Kerala: Land of Contradictions". Truly, there is no shortage of bizarre contradictions in this state sandwiched between the Arabian Sea and the Western Ghats. Last month, Reliance Retail opened two Fresh vegetable chains in Kochi. One was inaugurated by C.M. Dinesh Mony, a CPI(M) MLA and former city mayor and the other by C.K. Manishankar, deputy mayor and a CPI(M) leader. This, despite the uproar from the AKG Centre in Delhi against multi-nationals entering the Indian retail market. A week later, the ruling CPI(M) led protest marches across Kerala with the active participation of the associations of local shopowners and merchants. It is not

surprising that Dinesh Mony and Manishankar led these spirited protests. Thereafter, both the Marxist leaders tendered unconditional apologies to the people saying they never knew that the shops belonged to the Reliance Group. "A friend asked me to open a shop and I did. I didn't have a clue that it was Reliance's," said Manishankar. Presumably, he didn't bother to look at the huge signboard above while cutting the ribbon.

Nobody quite knows if there is an economic rationale for the sudden surge against supermarkets. It matters little to the politicians that despite their efforts Kerala has one of the highest per capita consumption expenditure and has emerged as one of the leading and lucrative consumer markets of the country. Even as Reliance entered the state, the political class buried its traditional animosity to stick a knife into the "big monopolies attempting to take over the state's retail market". The rul-

ing Left Democratic Front (LDF) has asked the state Government to bring in the legislation to block monopoly chains, it has also exhorted the Panchayats and other local bodies not to issue licences to them in the future.

What is odd is that it is not just the communists who are protesting the influx of retail chains. The Left parties can at least hide behind their old tried and tired tirade against big business. What is surprising is that the Congress party, which is promoting the concept of retail chains to create employment and enable better returns for the farmers at the Centre, is opposed to retail chains in Kerala. Former chief minister Oommen Chandy and KPCC President Ramesh Chennithala have lashed out at the LDF Government for letting in monopoly business houses that could throttle the smaller mom and pop units spread across the state. Chief Minister V.S. Achuthanandan declared his Government would consider all steps to